

Not just our lives, but the products on sale are also dynamic. Sometimes a better product comes along and you may need to switch out of what you have into the new one, if the costs of the transition are small. For example, the government's sovereign gold bond issues are the best way to hold gold today. They are better than the ETF route since there is no cost and you get a nominal interest on your gold holding. Or when term life insurance plans went online around the year 2010, the premiums crashed to almost half, since the agent commission was removed from a direct sale. We dumped our older plans and bought new ones, despite the fact that at an older age bracket we had to pay more premiums.

Your money box is a dynamic entity and it needs periodic checks to see if your situation has changed, or there are better products on offer.

What to do when you change

Change can come in many ways. The most unstoppable one is age. The composition of your money box changes as you age. For example, as you near retirement and your retirement corpus builds up, your kids become independent, the need for a life insurance policy goes away. We only need a life cover if the family depends on your monthly pay cheque. Once you have your retirement corpus in place, and are free from loans, you don't need a life cover.

If you are sitting on a really cheap term plan from your thirties, there is no harm in continuing with it, but you need not top up or buy more. As you age, your risk capacity reduces, and it is a good idea to rework your asset allocation, reducing equity as you age.

There is a rule of thumb on how much equity you should hold: 100 minus your age. At age thirty, you should have 70 per cent of your holdings in equity and at age seventy, you should have 30 per cent of your holdings in equity. It is a good idea to do an annual audit of your money box to see if you are on track.

Personal changes could be around jobs. You could move to a much higher-paying job or your partner could go to work causing the family income to rise. Your risk capacity increases as more money flows into the money box. Remember to use it not just to hike lifestyle but also the savings. Your kids